

Tyco's stock price collapse during the Dennis Kozlowski corruption scandal.

We cannot predict which asset classes are likely to get distressed next. However, if we only focus on a single asset class of stocks, that encompasses thousands of businesses. Virtually every week, specific businesses that trade on public markets see their prices collapse. At other times, it might be an entire sector that gets written off. More rarely, the entire market sells off due to a macro-shock like 9/11.

Papa Patel, Manilal, Branson, Graham, Munger, and Buffett have always fixated on a large margin of safety and gone to great lengths to seek out low-risk, high-return bets. It is truly fortune's formula.